# 11

## Price Look back method

Normally price is converted to time to check for any potential reversal point. Take any price at important high or low and move forward that many days in future. Any Time frames can be taken to do this , but here we are taking daily chart. Let us take example of Tatamtrdvr, on 23rd Apr 2012 it marked high of 189.9 so rounding off we are taking it as 190 days, After the fall from 23rd aug 2012 this scrip marked low at Rs 116.1 on 26th July 2012, we are taking round off to 116 days. If we move ahead 190 days from 23rd Apr 2012 and 116 days from 26th July 2012 we reach at the same location with approximation of 2-3 days, where major fall started. Check following graph,

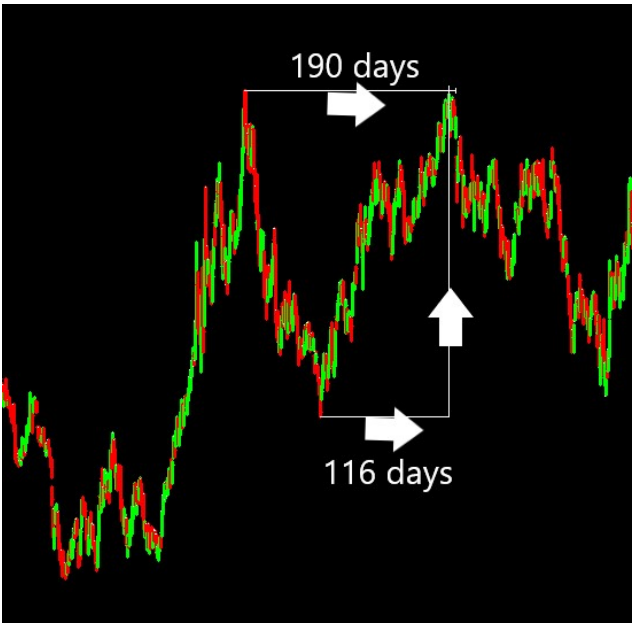


Fig 11.1 – Price conversion to time-Tatamtrdvr

Now the concept of price look back, is exactly opposite that of time taking forward. Normally we have seen that price is converted to time and taken forward, here at whichever point we are, we will take that price backward and check whether any major change has happened previously, which will confirm that change in trend may happen from current location.

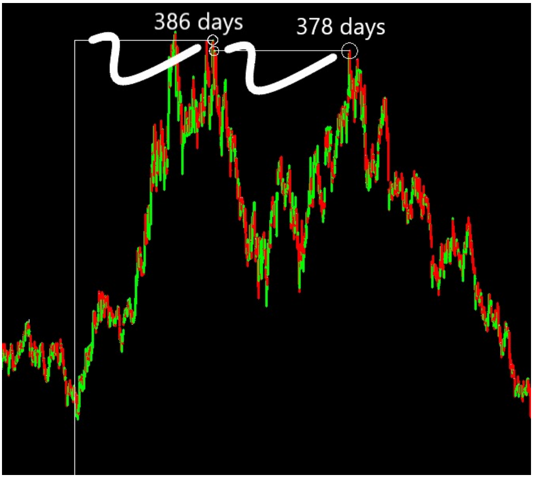


Fig 11.2 – Price lookback method-Tatamtrdvr

Following is example of VEDL, it marked low on 12th Feb 2016 at Rs 58. Scale of the chart is 0.5, Hence software calculated time line 58 x2 = 116 days earlier to that. Since there was major upswing 116 days earlier, we can expect change in trend from current location and see price has accelerated .


Fig 11.2 – Price lookback method-VEDL